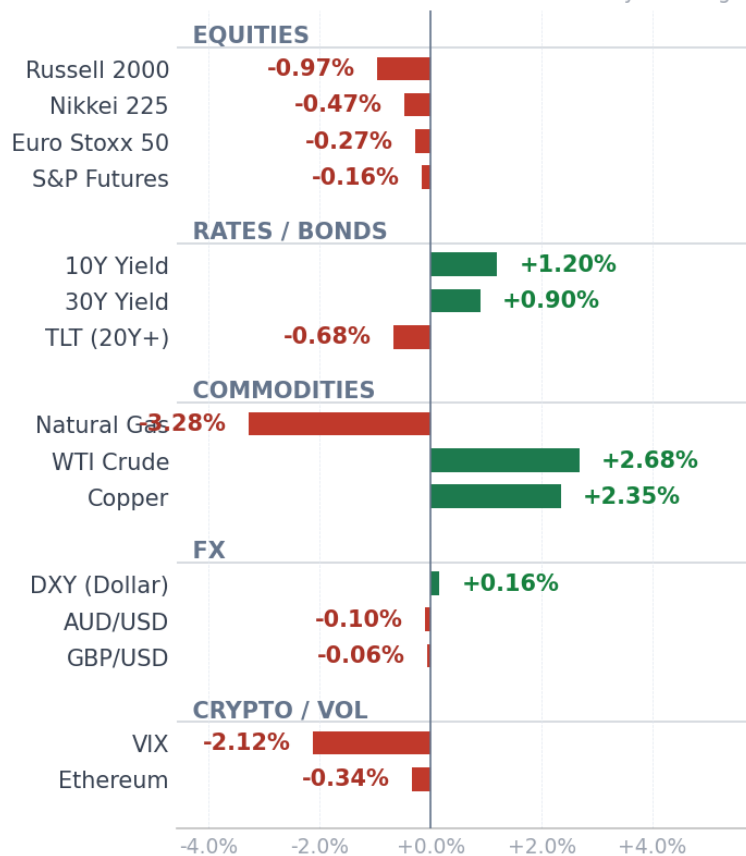


Tuesday, May 12, 2026

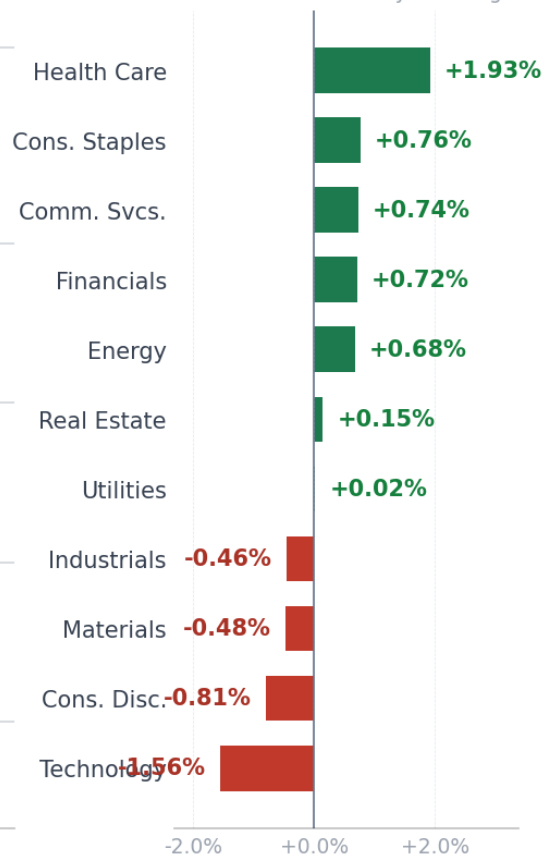
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S&P 500	NASDAQ	10Y YIELD	VIX	WTI CRUDE	GOLD
7,401	29,065	4.463%	17.99	101.84	4,730
-0.16%	-0.87%	+1.20%	-2.12%	+2.68%	+0.03%

Market Moves — by Asset Class



Sector ETF Performance



Morning Thesis

Energy supply shocks and inflation reacceleration pushed Treasury yields to 4.463% (up 1.20%), triggering a tactical rotation from rate-sensitive growth into energy and defensive equities while credit spreads held firm and the VIX retreated to 17.99.

Recruiting Angle

What Happened + Why

Iran geopolitical supply concerns drove WTI crude up 3.23% to \$102.38, simultaneously pushing April CPI to 3.8% annualized and forcing a sharp repricing of Fed policy — the 10Y Treasury yield jumped to 4.463% (+1.20%). The rate move compressed terminal valuations on long-duration growth equities (XLK -1.95%, Nasdaq -1.16%) while lifting energy and defensives, as higher discount rates mechanically reduce the present value of cash flows weighted toward the out-years.

The Interview Talking Point

"Today was a textbook inflation shock rotation: the Iran supply disruption fed directly into input costs, CPI reacceleration pushed rate-hike odds to 37% by year-end, and the market responded by selling long-duration growth and buying cash-flow-stable defensives — XLV gained 1.97% while XLK lost 1.95%, a nearly 400bps intraday spread driven entirely by duration sensitivity, not earnings revisions."

The Causal Chain

Iran supply disruption → WTI +3.23% to \$102.38 → April CPI reaccelerates to 3.8% → 10Y yield reprices to 4.463% → DCF terminal values compressed on high-growth names → XLK -1.95% / Nasdaq -1.16% → rotation into XLV (+1.97%) and XLP (+0.98%) as stable cash-flow proxies

What Most Candidates Miss

Most candidates will say "rates went up so tech sold off" and stop there — missing that credit spreads (HY OAS 2.79%, IG OAS 0.78%) stayed benign and VIX compressed to 17.99, which are the two signals that distinguish an inflation shock from a recession shock. The sophisticated read is that this was a discount-rate repricing event, not a risk-off event: the market raised its cost of capital without raising bankruptcy probabilities, which is why defensives and energy outperformed while credit held firm and the S&P only fell 0.21%.

Key Takeaways

Inflation and geopolitical energy risks reshaped portfolio positioning today. Oil surged 3.23% while Treasury yields jumped 1.20%, reflecting dual concerns about demand-side price pressures and Middle East supply constraints. Energy (+0.94%) and defensive sectors (Healthcare +1.97%, Staples +0.98%) led equity rotations, while Technology (-1.95%) and Russell 2000 (-1.11%) lagged. Only 7 of 11 sectors advanced (64% breadth)—narrow participation balanced by VIX compression to 17.99 and the yield curve remaining normal at 0.860% (3M to 10Y). Overnight commentary on Fed Chair confirmation (Warsh) and rising rate-hike odds (37% by year-end) sets the stage for a critical week.

What Moved

Asset	Price	Change	Note
WTI Crude	102.38	+3.23%	Iran geopolitical supply concerns lift oil floor
Brent Crude	107.82	+2.55%	International crude follows U.S. higher
10Y Treasury	4.463%	+1.20%	Inflation and Fed tightening repricing
Copper	6.6275	+2.06%	Industrial demand resilience
30Y Treasury	5.031%	+0.90%	Long-end curve steepens on higher rates
Nasdaq 100	28,982.01	-1.16%	Tech weakness on rate sensitivity
Russell 2000	2,838.78	-1.11%	Small-cap growth underperforms
Bitcoin	80,746.88	-1.20%	Risk-off tilt in crypto
VIX	17.99	-2.12%	Volatility fades despite moves
S&P 500	7,397.31	-0.21%	Broad resilience despite sector rotation
Dow	49,797.05	+0.19%	Lower-multiple names hold ground
Gold	4,709.10	-0.42%	Minor weakness as equity tone firms
DXY Dollar	98.284	+0.13%	Modest strength on rate expectations

What Drove It

Oil & Energy Supply Shock - WTI crude surged 3.23% to 102.38 on sustained Middle East geopolitical risks constraining supply availability [Market Data] - Brent crude followed at 107.82, +2.55%, as international markets repriced the energy supply premium [Market Data] - Energy sector (XLE) outperformed at +0.94%, as investors established higher-for-longer commodity floor assumptions [Market Data]

Rising Rate Expectations & Inflation Concerns - 10Y Treasury yield jumped to 4.463%, a +1.20% change, as inflation reacceleration concerns and Fed tightening shifted pricing [Market Data] - 30Y yield climbed to 5.031% (+0.90%), steepening the long-end curve and compressing terminal-value estimates for growth equities [Market Data] - Long-duration bonds (TLT: 20Y+ maturity) fell 0.71%, reflecting sharp repricing in the duration-sensitive end of the curve [Market Data]

Growth Stock Repricing & Sector Rotation - Nasdaq 100 declined 1.16% to 28,982.01 as rising long-end yields compressed valuation multiples on high-growth names [Market Data] - Technology sector (XLK) dropped 1.95%—the sharpest decline—as mega-cap growth names faced the largest discount-rate headwinds [Market Data] - Russell 2000 fell 1.11%, reflecting amplified rate sensitivity in the small-cap growth complex [Market Data]

Market Developments

Inflation Acceleration Triggers Rate Reset

April consumer price growth accelerated to 3.8% annually, exceeding expectations and reigniting concerns about persistent inflationary pressures through 2026. The uptick reflects both demand-side resilience and supply-side constraints—the Iran geopolitical situation has amplified energy-cost inputs, which ripple through transportation, shelter, and services baskets. This reacceleration forced a dramatic repricing of Federal Reserve policy expectations. Market pricing swung from a consensus call for rate cuts later in 2026 to a 37% probability of a rate hike before year-end, a sharp pivot in just days [CNBC via StockNewsAPI].

Warsh Confirmation Advances Central Bank Leadership Shift

The Senate confirmed Kevin Warsh to the Federal Reserve Board of Governors on May 12, clearing a key hurdle toward his nomination as Federal Reserve Chair. Warsh's background as a former Fed governor positions him as a candidate more likely to maintain or tighten the current policy stance—a signal that the next Fed leadership may not deliver the rate cuts Wall Street had anticipated earlier in 2026. The Chair confirmation vote is expected May 13, a critical near-term catalyst [CNBC via StockNewsAPI].

Geopolitical Energy Dynamics Fuel Commodity Rally

The Iran war continues to disrupt energy markets, pushing WTI crude to 102.38 (up 3.23%) and creating a floor on supply availability. The energy shock is occurring days ahead of a critical U.S.–China summit (May 14-15) where energy exports and trade terms are expected to dominate the agenda. Early signals suggest a potential thaw: U.S. LNG shipments are resuming to China in June after a 12-month pause, hinting at warming energy relations despite broader trade tensions [Reuters via StockNewsAPI].

Narrow Breadth Masks Underlying Sector Divergence

Only 7 of 11 sectors advanced (64%)—below the 75%+ threshold typical of strong bull sessions—signaling uneven participation. The divergence is clean: energy and defensive names outperformed while growth and cyclicals lagged. The VIX decline to 17.99 (down 2.12%) and the S&P 500's modest -0.21% move suggest that equity investors are pricing a "higher-for-longer rates" regime rather than recession risk, justifying the selective tilt toward stable cash-flow generators [Market Data, Sector Breadth].

Sectors to Watch

Potential beneficiaries - Energy (XLE, +0.94%): Iran geopolitical situation sustaining oil above 100; WTI +3.23% signals constrained supply with durable price floor [Market Data] - **Health Care (XLV, +1.97%):** Defensive positioning in rising-rate regime; Q1 beat rate of 71% supports upside [StockNewsAPI] - **Consumer Staples (XLP, +0.98%):** Inflation-hedge demand; pricing power offsets input cost pressures from oil spike [StockNewsAPI] - **Financials (XLF, +0.79%):** Higher rates expand net interest margin; HY OAS 2.79% and IG OAS 0.78% remain benign [FRED]

Potential headwinds - Technology (XLK, -1.95%): 10Y yield at 4.463% compresses terminal values for long-duration growth; rate sensitivity peaked today [Market Data] - **Consumer Discretionary (XLY, -0.75%):** Inflation-driven margin compression; consumer caution as input costs rise [StockNewsAPI] - **Materials (XLB, -0.32%):** Oil spike (WTI +3.23%) lifts input costs without commensurate pricing power or export upside [Market Data] - **Industrials (XLI, -0.42%):** Energy-intensive capex pressure; copper gains (+2.06%) insufficient to offset margin headwinds [Market Data]

Sector Snapshot

Sector (ETF)	Move	Driver
Health Care (XLV)	+1.97%	Defensive demand in rising-rate environment; Q1 beat rate 71% [StockNewsAPI]
Consumer Staples (XLP)	+0.98%	Inflation-hedge positioning; pricing power offsets input cost surge [StockNewsAPI]
Energy (XLE)	+0.94%	WTI +3.23% on Iran supply concerns; sustained oil floor [Market Data]
Financials (XLF)	+0.79%	Higher rates expand NIM; credit spreads benign at HY OAS 2.79% [FRED]
Technology (XLK)	-1.95%	10Y at 4.463% compresses long-duration valuations [Market Data]
Consumer Discretionary (XLY)	-0.75%	Inflation-driven margin compression anticipated [StockNewsAPI]

Forward View

Next Session

- Kevin Warsh Federal Reserve Chair confirmation vote expected May 13; outcome affirms higher-for-longer policy stance [CNBC via StockNewsAPI]
- Trump-Xi summit May 14-15 in Beijing with 12+ U.S. executives; AI chip sales, farm exports, energy trade on agenda [Reuters via StockNewsAPI]
- U.S. LNG shipments to China resuming in June after 12-month pause; potential thaw in energy relations [Reuters via StockNewsAPI]
- Weekly jobless claims and initial macro reads will test whether inflation/rate trajectory assumptions hold [Macro Calendar]

This Week's Watch

- **Scenario A (Dovish reprieve):** If CPI expectations moderate or recession signals emerge, 10Y could retreat from 4.463% and growth equities find relief. Watch for PMI weakness or softer labor data.
- **Scenario B (Hawkish confirmation):** If Warsh chair vote solidifies and trade tensions persist, Treasury yields could move higher, pressuring Tech and small-cap growth further. Energy remains supported.
- **Scenario C (Bifurcated regime—most likely):** Defensive equities and energy outperform while growth consolidates in a "higher rates, not recession" backdrop. Real yield (10Y 4.463% minus April CPI 3.8% = 0.66% real) suggests restrictive but not crushing conditions. HY-IG spreads at +2.01% stay benign—no financial stress.
- Monitor Iran escalation signals; energy supply rhetoric is the week's key wild card for sentiment shifts.

Deal of the Day

Arvinas and Pfizer granted Rigel Pharmaceuticals exclusive commercial rights to VEPPANU, the first FDA-approved PROTAC breast cancer therapeutic.

Deal Terms

- Upfront payment: \$85 million
- Milestone payments: Up to \$320 million contingent on clinical and regulatory achievements
- Deal structure: Exclusive rights to commercialize; includes royalties on future sales
- Regulatory: VEPPANU already FDA-approved; no regulatory review required
- Timeline: Near-term implementation

Strategic Rationale

Rigel is strengthening its oncology franchise with VEPPANU as its fourth marketed product. PROTAC therapeutics represent an emerging drug class targeting treatment-resistant cancers with novel mechanisms. For Arvinas and Pfizer, licensing out non-core geographies and sharing commercialization risk optimizes capital allocation and derisk execution risk on a new modality [StockNewsAPI].

Market Implications

The deal underscores pharma's active partnership environment despite broader equity uncertainty. PROTAC validation through FDA approval (VEPPANU) signals investor appetite for next-generation oncology modalities. Rigel's revenue diversification strengthens fundamentals for equity upside contingent on execution [SEC EDGAR].

What Changed vs Yesterday

- S&P 500: 7,409.61 → 7,397.31 (−0.17%) — slight weakness as rate sensitivity offset defensive strength
- Nasdaq 100: 29,269.27 → 28,982.01 (−0.98%) — tech underperformance accelerated on duration repricing
- 10Y Treasury: 4.38% → 4.463% (+1.20% yield change) — sharp repricing of inflation and Fed expectations
- VIX: 18.22 → 17.99 (−1.26%) — volatility compression despite large rate move; equities resilient

Today's Macro Calendar

High-impact events - Tuesday, May 12 (today): Employment Situation (NFP) — TBD - **Wednesday, May 13:** Gross Domestic Product (GDP) — TBD; **Federal Reserve Chair confirmation vote (Warsh) - Thursday, May 14:** Producer Price Index (PPI) — TBD; **Trump-Xi summit begins (Beijing) - Friday, May 15:** Consumer Price Index (Core CPI) — TBD; **Trump-Xi summit concludes**

Data Sources

- Licensed financial news, sentiment, analyst ratings, earnings, and events: StockNewsAPI (Premium)
- SEC filings: EDGAR (public domain)
- Government releases: Federal Reserve, BLS, BEA, Treasury, White House (public domain)
- Yield curve, TIPS breakeven, credit spreads: FRED / St. Louis Fed (public domain); ICE BofA US High Yield and Corporate indices via FRED (© ICE Data Indices, LLC, used with permission)
- Market data analysis: Original commentary on non-copyrightable price facts

The key question going into Wednesday: Can the Fed signal policy resolve through Warsh's Chair confirmation without triggering a broader equity capitulation—or will rate-hike expectations spike above 40%, forcing a sustained reassessment of growth valuations across tech and small-cap leadership?

Trends

AI & Technology

Sentiment: Bullish (long-term); Diverging (near-term) · 5 positive, 0 negative, 5 neutral

Long-term context: AI adoption acceleration over the past 18 months has driven valuation expansion for mega-cap tech names, with enterprise spending on generative AI and large language models scaling rapidly through

2025–2026.

Today: Google unveiled new Gemini Intelligence features at its Android developer event, announcing AI-driven multitasking and mobile capability enhancements. Google and SpaceX are negotiating orbital data center partnerships to support compute demands. Anthropic expanded legal AI tooling through Thomson Reuters and law firm integrations. Analyst sentiment remained constructive—Wells Fargo reiterated Nvidia Overweight with \$315 PT, Susquehanna Positive at \$275 PT. However, despite these tailwinds, the Technology sector (XLK) declined 1.95% today, the session's largest loss. Favorable product announcements could not overcome rising-rate headwinds compressing valuations on high-growth names. **Signal: Diverging.** Near-term rate sensitivity is overpowering long-term AI opportunity pricing; the mismatch between product momentum and equity performance signals tactical exhaustion in momentum equities.

Energy & Commodities

Sentiment: Bullish (Crude); Reinforcing geopolitical supply constraints · Multiple sources

Long-term context: Energy markets have oscillated between \$80–\$105 over the past 12 months due to OPEC+ production, refinery constraints, and Middle East geopolitical risks. The current pricing regime reflects supply inelasticity in the face of persistent demand.

Today: WTI crude rallied 3.23% to 102.38 on sustained Iran-related energy supply disruption concerns. Brent followed at +2.55% to 107.82, confirming international buyers' willingness to maintain supply premiums. Natural gas weakened 2.91%, reflecting softer power demand despite crude strength—signaling that energy cost inflation may not fully translate to economic demand destruction. Copper gained 2.06%, a signal that industrial sentiment remains constructive and deep recession is not yet priced in. **Signal: Reinforcing.** The geopolitical energy shock is persisting as a lasting supply constraint rather than a transient disruption. This dynamic supports near-term energy sector valuations and commodities exposure.

Healthcare & Pharmaceuticals

Sentiment: Neutral; Reinforcing defensive equity positioning · Multiple sources

Long-term context: Pharma has delivered consistent earnings growth and dividend stability over the past three years despite broader equity volatility, with biotech innovation cycles (clinical wins, FDA approvals) driving periodic upside surprises.

Today: Novo Nordisk disclosed strong STEP UP trial results for Wegovy in higher-dose cohorts, confirming significant weight loss outcomes across patient subgroups and validating the obesity treatment franchise. Arvinas-Pfizer-Rigel VEPPANU partnership (\$85M upfront + \$320M milestones) marked a first-in-class PROTAC approval, supporting investor appetite for next-generation oncology. Health Care sector (XLV) outperformed significantly at +1.97% as investors rotated into defensive equities amid rate repricing. **Signal: Reinforcing.** The sector's stable cash flows, pricing power, and innovation pipeline are proving increasingly attractive as equity multiples face compression from rising rates. Clinical wins and M&A activity reinforce the defensive narrative.

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